POWW

Outdoor Holding Company (NASDAQ)
As-of: 17-Oct-2026 | Latest Filing: Q1 FY27 (10-Q) | Currency: USD

$2.18 [Mkt 17-Oct-26]

Market Cap: $253M [Mkt 17-Oct-26]

Attractiveness Score

Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 68

GunBroker.com is the dominant online firearms marketplace with real network effects, 85%+ gross margins, asset-light economics, ~$66M cash and near-zero debt (D/E 0.04). Scale is the knock: ~$53M annual revenue is tiny.

2. Recent Trend — 78

Genuinely improving: revenue +21.7% YoY, GMV +18.1%, adjusted EBITDA +152% to a record $7.9M, net income flipped from a $6.5M loss to +$3.6M, operating cash flow turned positive $4.4M. Broad-based, per management.

3. Forward Growth — 60

FFL transfer fees and take-rate expansion are new, real revenue streams; payments processing is next. But growth rides on NICS demand cycles, the Virginia pull-forward was explicitly one-off, and only 4 analysts cover the name.

4. Valuation — 57

Trailing P/E 72.7x looks scary but earnings are off a depressed base; P/S 5.0x on $51M sales, EV roughly 3.5x ex-cash. Our DCF base $3.50 implies +60.6% upside and even the bear $2.31 sits above the $2.18 price. The market is pricing pessimism.

5. Catalysts & Risk — 55

Q2 earnings Nov 16 and the FFL/payment rollout are positive catalysts; the $15M buyback is a real signal. But liquidity is thin (~$1.2M daily), gun demand is cyclical, holders are

concentrated (Balentine 14.9%), and the litigation-to-transformation history is short.

Investment Thesis

- **Pure-Play Marketplace Now:** Note the old ammo profile is gone: AMMO Inc. sold its ammunition division to Olin-Winchester for $75M in Aug 2025 and rebranded as Outdoor Holding Company. What remains is GunBroker.com, the largest online firearms marketplace [8-K].
- **Real Turnaround Numbers:** Q1 FY27: revenue +21.7% to $14.48M, adjusted EBITDA +152% to a record $7.9M, net income +$3.6M, operating cash flow +$4.4M, gross margin ~85% [8-K]. Management cut $6.7M of quarterly opex in the transformation.
- **Market Prices Pessimism:** At $2.18 [Mkt 17-Oct-26], the reverse DCF implies -2.4% CAGR, decline priced in. Our DCF base is $3.50 (+60.6% upside) with the bear case $2.31 still above the price. Small-cap skepticism on liquidity is warranted, but the gap is real.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (Q1 FY27)	$14.48M [8-K]	+21.7% [8-K]	Up
Adjusted EBITDA (Q1 FY27)	$7.9M [8-K]	+152% [8-K]	Up
Net Income (Q1 FY27)	$3.57M [8-K]	vs -$6.46M loss [8-K]	Up
GMV (Q1 FY27)	$223.7M [8-K]	+18.1% [8-K]	Up
Operating Cash Flow (Q1 FY27)	$4.4M [8-K]	vs -$6.7M deficit [8-K]	Up
Covering Analysts	4 [Cons]	avg target $2.63 [Cons]	Flat

Historical Financial Trend

METRIC	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27
Revenue	$11.9M [8-K]	$12.0M [8-K]	$13.4M [8-K]	$13.9M [8-K]	$14.5M [8-K]
Net Income	-$6.5M [8-K]	+$1.4M [8-K]	+$2.2M [8-K]	-$0.7M [8-K]	+3.6M [8-K]
Adjusted EBITDA	$3.1M [8-K]	n/a [n/a]	n/a [n/a]	n/a [n/a]	$7.9M [8-K]

Valuation

Absolute (6/10)

P/E (trailing) 72.7x [Mkt 17-Oct-26]
P/S 5.0x, P/B 1.1x [Mkt 17-Oct-26]
DCF Base $3.50, +60.6% upside [DCF]

Trailing P/E is meaningless off a depressed base; EV is ~3.5x sales ex-cash. The DCF says the price undervalues even a modest take-rate expansion.

Versus Peers (5/8)

4 analysts, avg target $2.63, Moderate Buy [Cons]
AOUT is the closest peer (manufacturer, different model)

No pure-play online firearms marketplace comp exists; analyst coverage is thin but constructive, with targets ~21% above the price.

Versus History (5/7)

52wk range $1.49-$2.67 [Mkt 17-Oct-26]
+42% over 1 year; -44% since 2017 listing

The name has recovered from the transformation lows but remains well below its listing price, reflecting the long dilution of the old ammo business.

Catalyst Timeline

16-Nov-2026 [8-K]
Q2 FY27 Earnings (Positive): Q1 beat with +22% revenue and record adjusted EBITDA $7.9M; watch for continued GMV and take-rate expansion.

FY2027 [8-K]
FFL Transfer Revenue (Positive): New fee stream launched at start of FY27, already contributing to take rate in its first quarter.

FY2027 [8-K]
Buyback Program (Two-Sided): $15M authorization (up to 7.7% of shares); signals

Top Risk Factors (Item 1A)

1. Cyclical Demand: GunBroker revenue moves with firearm demand and NICS checks. The Virginia legislation pull-forward was explicitly described by management as a one-off that will not repeat in Q2 FY27. [8-K]

2. Thin Liquidity: Average daily traded value is only ~$1.2M, and institutional ownership is concentrated (Balentine 14.9%, Kanen 9.9%). Building or exiting a meaningful position moves the price. [Mkt 17-Oct-26]

3. Short Transformation History: The company sold its ammo division in Aug 2025, settled Delaware litigation, and replaced leadership. The pure-play marketplace story is barely a year old, with warrants

> management views shares as cheap but consumes cash.

What Would Change Our Score

Q2 FY27 earnings on Nov 16, 2026 are the next test: another quarter of 15-20% GMV growth with rising take rate would pull the price toward the $3.50 DCF base. A NICS slowdown or a stalled FFL/payment rollout would compress the growth story back toward the bear case.

and promissory notes still outstanding from the settlement. [8-K]

Forward Growth Drivers

- GunBroker.com dominance: largest online firearms marketplace, firearm units sold +11.6% vs NICS +5.3% [8-K]
- New FFL transfer fee revenue stream launched FY2027, plus take-rate expansion on seller services [8-K]
- Asset-light marketplace at 85%+ gross margins with ~$66M cash and minimal debt [8-K]

Missing / Modified Data Log

- Latest-quarter cash balance not disclosed in available sources; $65.7M figure is Sep 30, 2025.
- Forward revenue estimates from the 4 covering analysts not independently verified.
- Q3/Q4 FY26 gross margins per AltIndex looked inconsistent (60.0%); used company press-release margins instead.
- Peer multiples for AOUT not sourced; peers scored qualitatively on limited comp set.

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